

OPPORTUNITY REVIEW

DIRECT-TO- EMPLOYER GTM STRATEGY

Exploring a Adena Health System DTE Health Plan





KEY BENEFIT ADMINISTRATORS

- Founded in 1979, headquartered in Indianapolis
- Largest Independently-Owned Full-Service Third-Party Administrator
- Specialize in Administration of Self-Funded Plans and Population Health Management
- Leader in the Direct-to-Employer Movement
- We Know and Understand the Market
- Experience Working with All Professional Teams: Agents, Networks, MGAs
- The Key Family of Companies is a Vertically Integrated group of benefit related organizations
 - 3,000+ Corporate Clients
 - 3 Million Members under Management
 - 700 Employees



Our Founding and Heritage:

46 Years of Striving for Honesty in Healthcare

Founded Key Benefit Administrators in 1979

After co-founding a life insurance agency in 1973 and Key Life Insurance in 1976, Larry Dust launched KBA in 1979 as a third-party benefits administrator focused on honest healthcare delivery.

Sold to Blue Cross/Blue Shield in 1985

Strategic partnership with BCBS of Indiana (then part of the Associated Group) provided capital and market access while maintaining operational independence.

Reacquired KBA in 1992

Larry bought the business back from BCBS in 1992, returning it to complete independence and patient-focused mission alignment.

Built the Largest Independent TPA in the U.S.

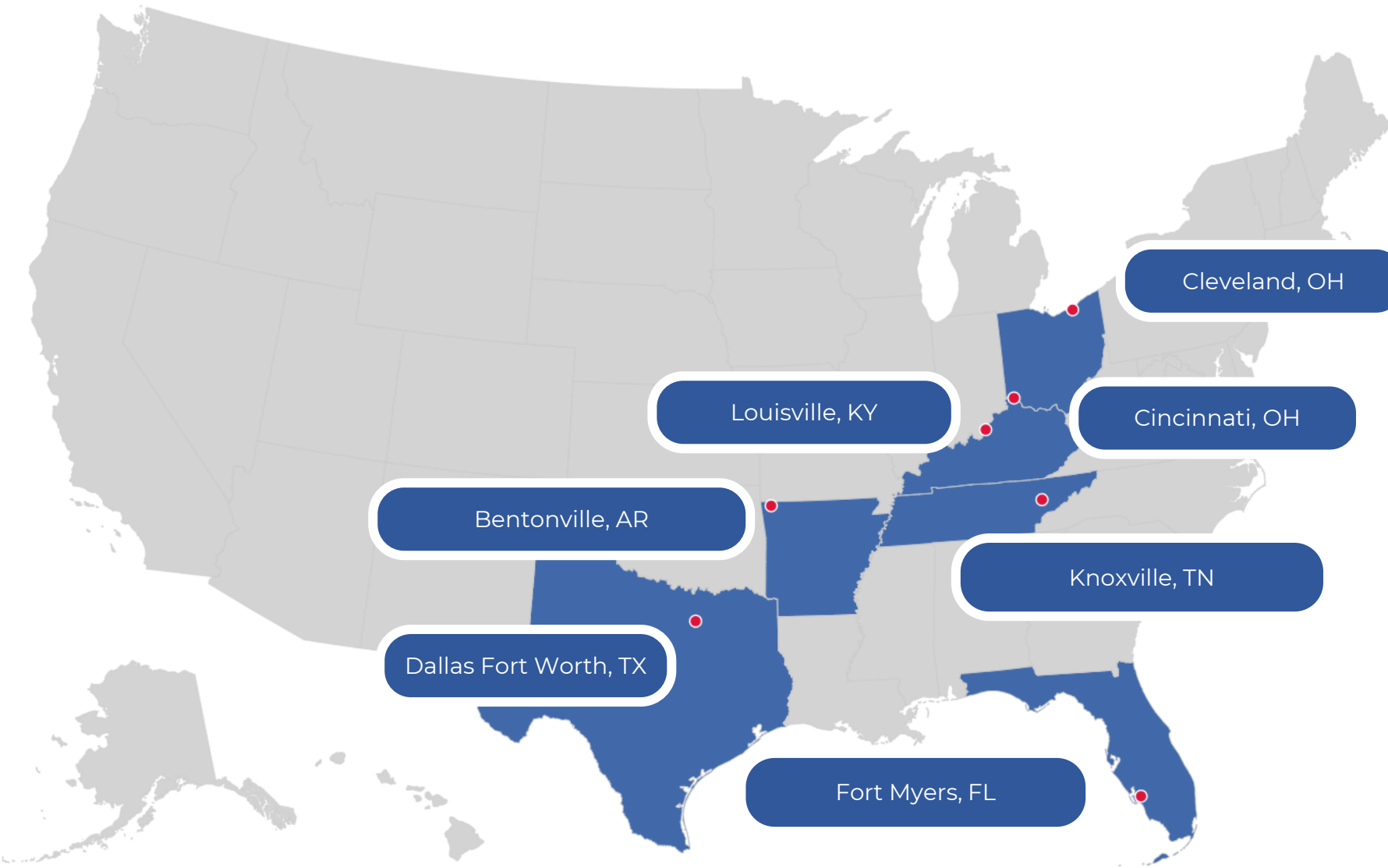
Under his leadership since the buyback, KBA has become the country's largest independently owned third-party administrator, managing millions of members across diverse markets.

Never Forgotten Who Gives Healthcare

KBA has never participated in reference-based pricing, does not take refunds, and delivers healthcare at 11% below market rates. Our commitment remains with providers and patients, not profit extraction.

Key Benefit Administrators

MARKET LEADER IN PRIVATE LABELED DTE PLANS



DIRECT-TO-EMPLOYER (DTE)

*Your Health Plan
Focused on a Direct
Relationship with Self-
Funded Employers in
Your Market*



YOU Pick the Name of the Health Plan



YOU Determine the Fees Charged



YOU Practice the Medicine



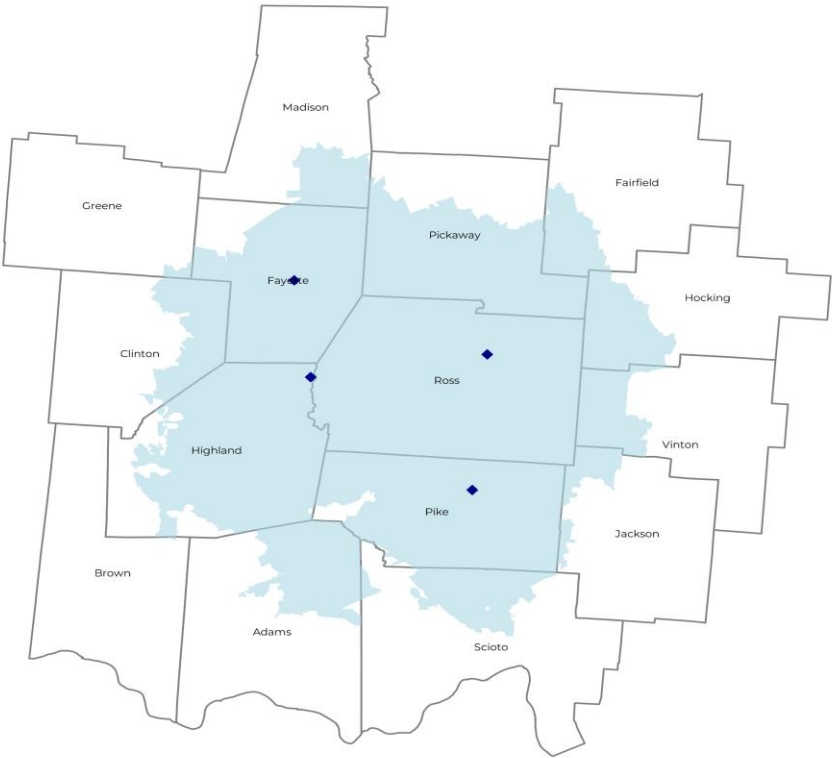
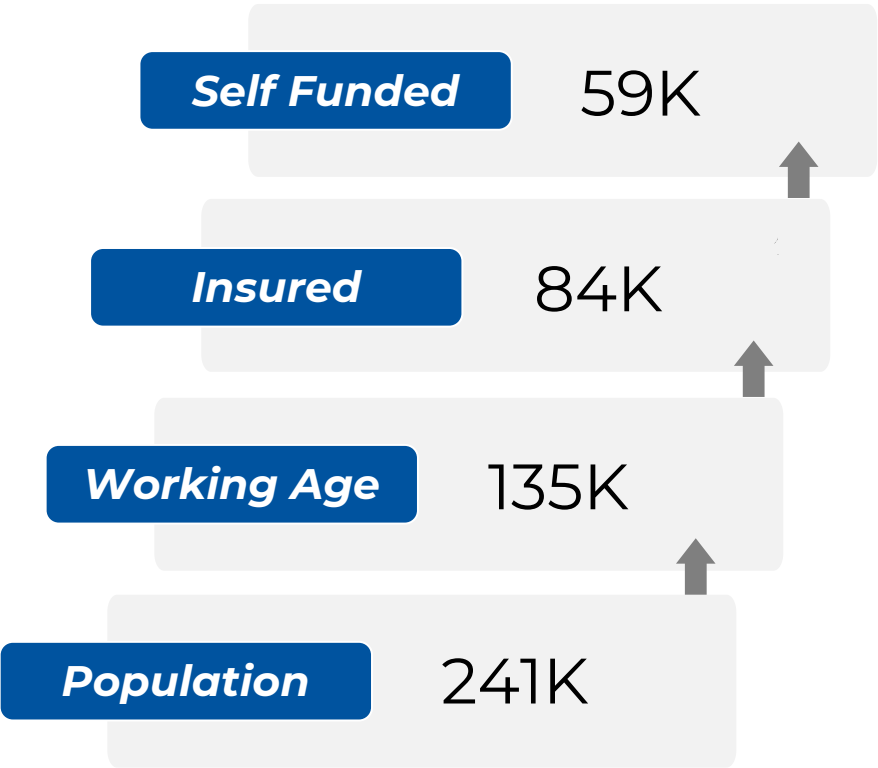
YOU Receive the Profits



WE Make it Successful

SIGNIFICANT OPPORTUNITY FOR PLAN GROWTH

Researched for the below highlighted service area



Estimates includes the Adena Health System service area in Adams, Clinton, Fairfield, Fayette, Highland, Hocking, Jackson, Madison, Pickaway, Pike, Ross, and Scioto Counties

GROWING POWERFUL, LASTING PROFITABILITY

Early Stage

Gaining Name Recognition, Early Growth

New Revenue:

\$0.66M

New Profit:

\$0.21M

Growth Stage

Strong Reputation, Strong Growth

New Revenue:

\$4.43M

New Profit:

\$1.51M

Mature Stage

High Profitability, Market Saturation

New Revenue:

\$9.67M

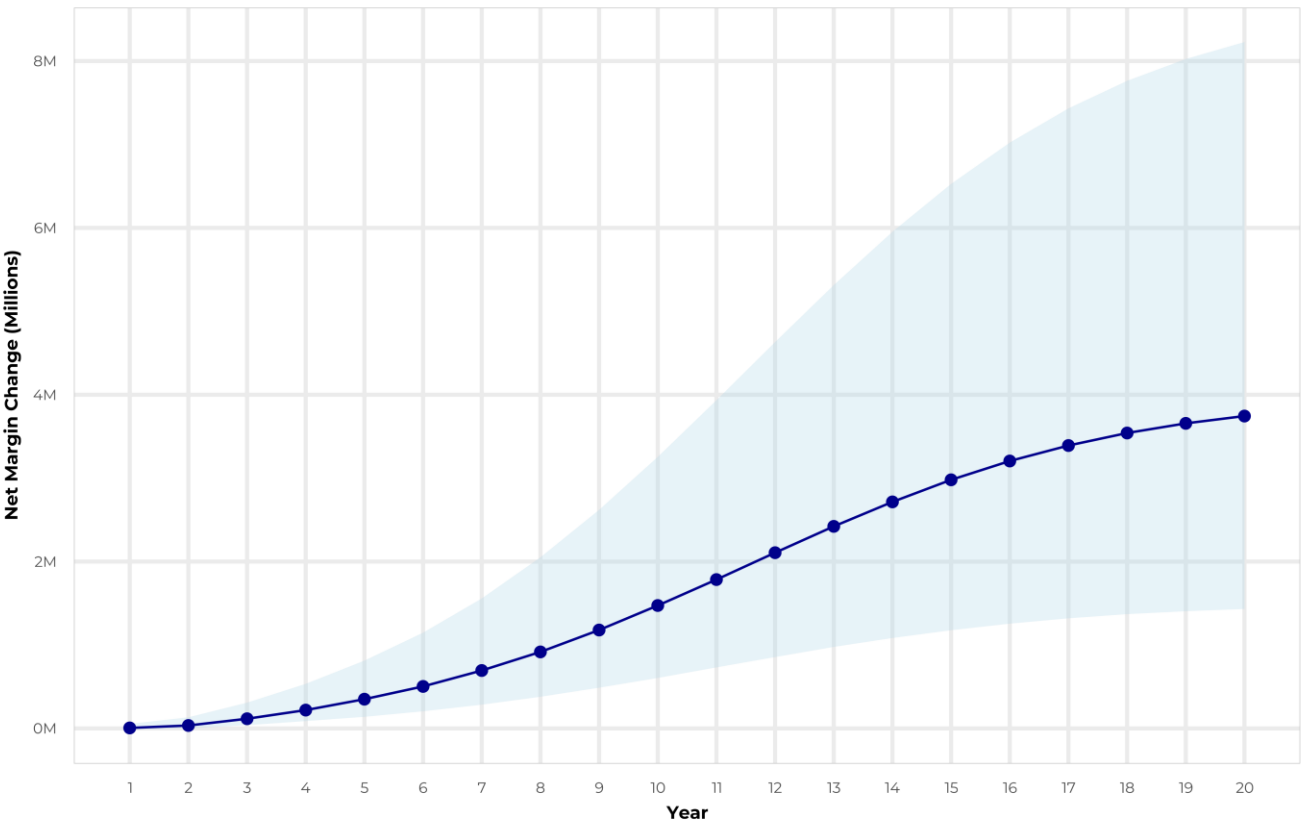
New Profit:

\$3.32M

Net Margin Change Over Years

Variation by Member Growth With Target Estimate Assuming

61%+ Within-Plan Steerage and a Commercial Margin of 33.6%

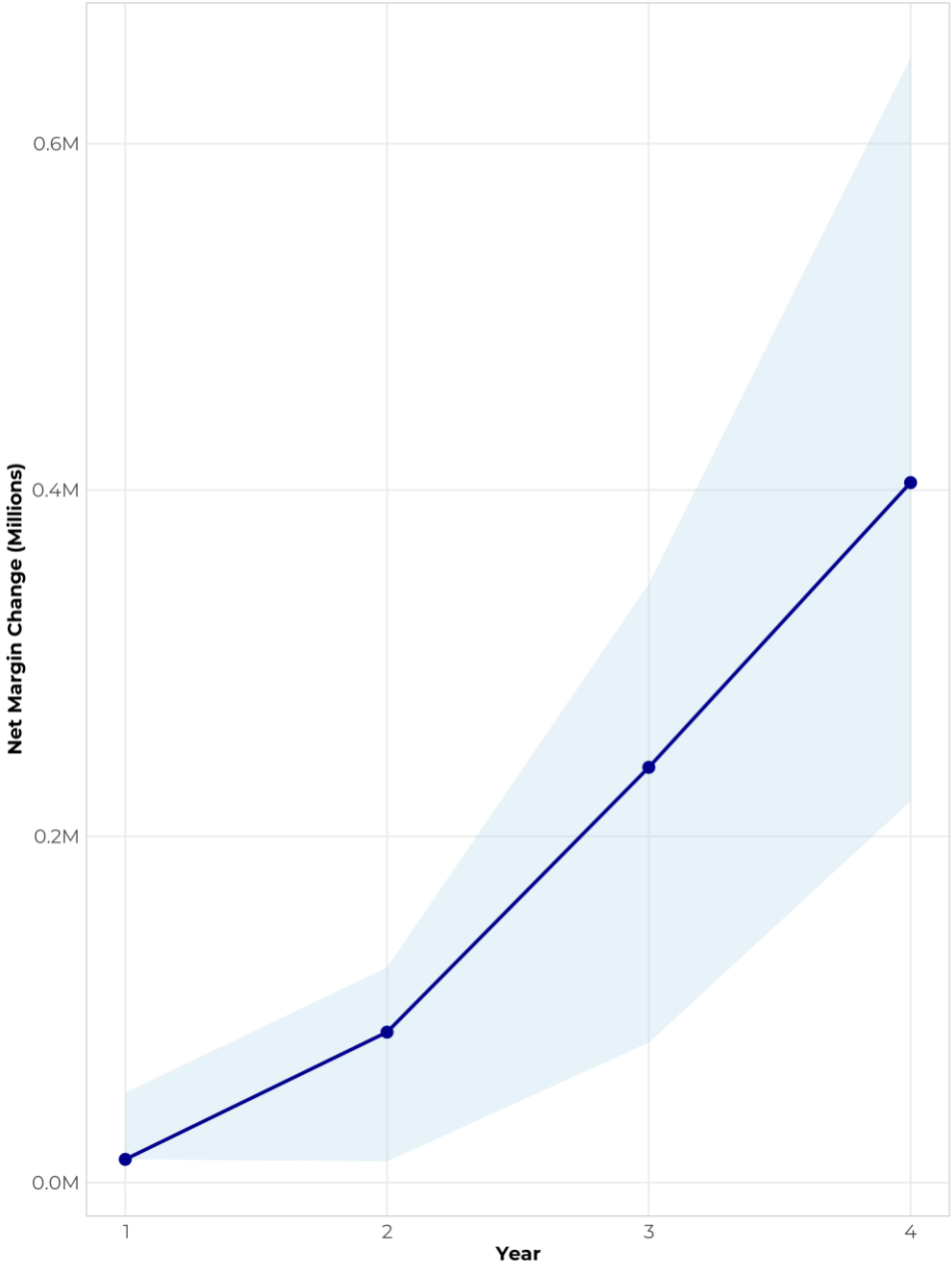


FOUR-YEAR PROJECTIONS

Net Margin Change Over Years

Variation by Member Growth With Target Estimate Assuming

61%+ Within-Plan Steerage and a Commercial Margin of 33.6%



Target Member Growth				
Metric	Year 1	Year 2	Year 3	Year 4
Number of Members	100	300	500	700
Incremental Margin	37.3K	108.3K	258.9K	420.9K
Network Access Fee	1.2K	3.6K	6.0K	8.4K
Implementation Fee (One-Time)	0.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-25.0K	-25.0K	-25.0K	-25.0K
Net Margin Change	13.5K	86.9K	239.9K	404.3K

High Member Growth				
Metric	Year 1	Year 2	Year 3	Year 4
Number of Members	200	400	700	1,100
Incremental Margin	74.5K	144.5K	362.4K	661.4K
Network Access Fee	2.4K	4.8K	8.4K	13.2K
Implementation Fee (One-Time)	0.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-25.0K	-25.0K	-25.0K	-25.0K
Net Margin Change	51.9K	124.3K	345.8K	649.6K

Low Member Growth				
Metric	Year 1	Year 2	Year 3	Year 4
Number of Members	100	100	200	400
Incremental Margin	37.3K	36.1K	103.5K	240.5K
Network Access Fee	1.2K	1.2K	2.4K	4.8K
Implementation Fee (One-Time)	0.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-25.0K	-25.0K	-25.0K	-25.0K
Net Margin Change	13.5K	12.3K	80.9K	220.3K

PROJECTED PLAN GROWTH

Year	Employees	Members	Percent of Members Choosing Adena Health System for Inpatient Care	Percent of Members Choosing Adena Health System for Outpatient Care
1	100	200	66%	51%
2	200	400	65%	50%
3	300	500	70%	55%
4	400	700	71%	58%
5	600	1,100	71%	60%
6	800	1,400	72%	60%
7	1,000	1,800	72%	61%
8	1,300	2,300	72%	61%
9	1,700	3,100	72%	62%
10	2,000	3,600	72%	63%
11	2,400	4,300	73%	63%
12	2,700	4,900	73%	64%
13	3,100	5,600	73%	64%
14	3,400	6,100	73%	65%
15	3,600	6,500	74%	66%
16	3,800	6,800	74%	66%
17	4,000	7,200	74%	66%
18	4,100	7,400	74%	67%
19	4,200	7,600	74%	67%
20	4,300	7,700	74%	67%

KBA currently estimates that Adena Health System has 55% inpatient market share, and 40% outpatient market compared to hospitals/clinics in the Adena Health System service area (see slide 8).

Based on previous DTE experience, KBA expects a significant bump in patient steerage to Adena Health System.

Additional steerage will occur from additional steerage patient benefits and the patient convenience card.

High estimates start nearly 10% higher than target with low estimates at 10% lower than target

YEAR 4 PROJECTED REVENUE AND PROFIT

Pre-DTE Cohort of 700 Members	Inpatient	Outpatient	Professional	Total
Revenue†	\$ 1,060,708	\$ 1,402,465	\$ 654,939.4	\$ 3,118,113
Net Income‡	\$ 356,397.8	\$ 471,228.4	\$ 220,059.6	\$ 1,047,686

With DTE	Inpatient	Outpatient	Professional	Total
Revenue°	\$ 1,367,876	\$ 2,029,884	\$ 947,938.7	\$ 4,345,699
Net Income*	\$ 459,606.2	\$ 682,041.1	\$ 318,507.4	\$ 1,460,155

† Assuming proportional revenues from market shares of 55% (inpatient) and 40% (outpatient)

‡ Conservatively assuming a commercial margin of 33.6% (80% of the estimated commercial margin)

° Assuming 71% inpatient and 58% market steerage based on KBA narrow network DTE experience (see previous slide)

* Conservatively assuming a commercial margin of 33.6%, with a 10 percentage-point reduction to reflect competitive-edge rates and a 10 percentage-point increase due to lower billing costs and higher patient responsibility collections because of the member convenience card.

Total Increase in Net Income	\$ 412,468.8
Network Access Fee (Revenue) of \$1 PMPM	\$ 8,400
Total Profit Growth	\$ 420,868.8
Minus Sales and Marketing (Annual – Ongoing)	-\$ 25,000
Total	\$ 395,868.8

A PARTNER YOU CAN TRUST



**OUR OBJECTIVES
ARE ALIGNED**



**WE KNOW THE
MARKET**



**COMPLETELY
TRANSPARENT**



**WE HAVE THE
SOPHISTICATION
AND
INFRASTRUCTURE
TO EFFECTIVELY
COMPETE**



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